

VEDANTA DEMERGER

VALUE CREATION OR DESTRUCTION?

A post-demerger case study of one of India’s largest natural-resources restructurings

CORPORATE FINANCE • SUM-OF-THE-PARTS • CAPITAL STRUCTURE • EVENT ANALYSIS

₹773.6 pre-demerger close	₹859.6 28 Aug market bundle	+12.2% value accretion incl. dividend	5 listed companies after split
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Prepared by

Krrish Pandit

Independent Research Report | Market data through 28 August 2026

RESEARCH VERDICT

VALUE CREATION — BUT CONCENTRATED, PARTIALLY RETRACED, AND STILL TOO EARLY TO CALL PERMANENT

This report is an analytical case study based on public information. It is not investment advice, a securities recommendation, or an audit of any Vedanta entity.

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Page numbers are fixed to this rendered edition. Market-data references use the last trading day available before the report date (28 August 2026).

EXECUTIVE SUMMARY

The demerger has created shareholder value so far, but the headline “unlock” hides a sharply unequal outcome across the five businesses.

On 29 April 2026, the last cum-demerger trading day, Vedanta Limited closed at ₹773.60 on the NSE. Every eligible shareholder subsequently retained one share of the residual Vedanta Limited and received one share each of Vedanta Aluminium Metal, Vedanta Oil & Gas, Vedanta Iron & Steel and Vedanta Power. On 15 June, the five-security bundle opened at roughly ₹933.00 per original Vedanta share — a 20.6% uplift versus the pre-demerger close. By 28 August, the bundle was worth ₹859.65. Including Vedanta Aluminium’s first ₹8 interim dividend, cumulative observed value was ₹867.65, or about 12.2% above the pre-demerger reference price. [5][6][12]

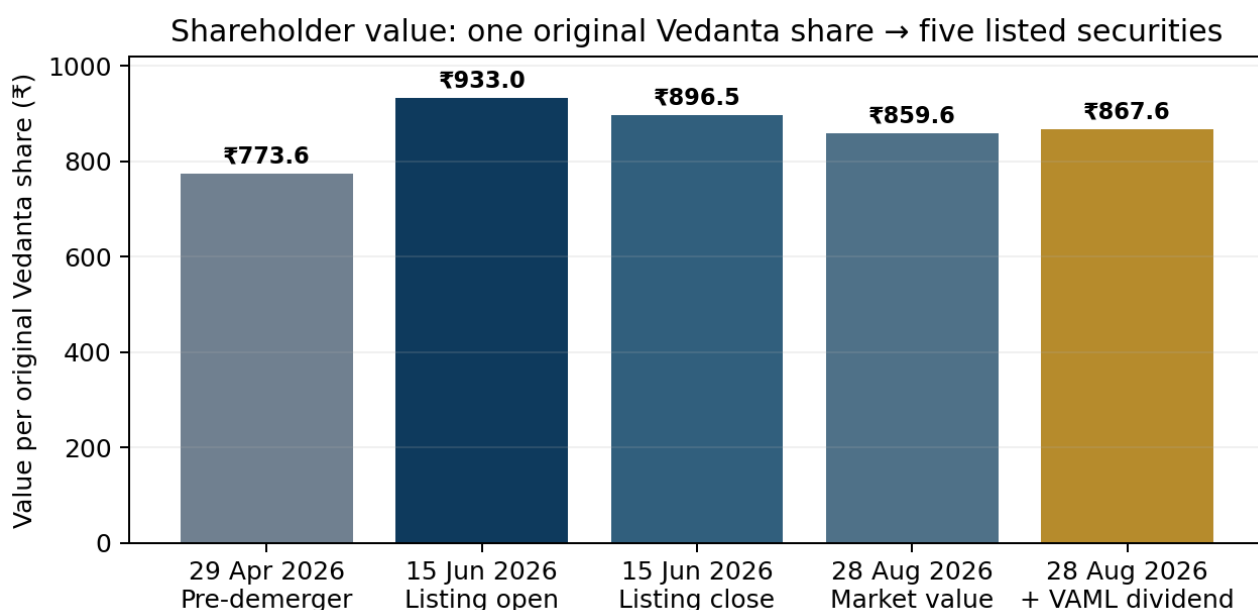


Figure 1. Price-based shareholder value bridge. Listing-close bundle of ₹896.5 is from contemporaneous market reporting; 28 August values use NSE closing prices. Sources: [5], [6], [12].

BOTTOM-LINE VERDICT

The evidence supports “value creation so far,” not “value creation proven forever.” Approximately ₹36,774 crore of gross shareholder wealth is represented by the latest price uplift plus the ₹8 VAML dividend, using ~391 crore mirrored shares as a simple scale estimate. The demerger released part of a conglomerate discount, but the bundle has retraced 7.9% from listing-open price discovery, and only about eleven weeks of independent trading history exist.

What drove the value creation

Pure-play price discovery: investors can now own aluminium, oil & gas, iron & steel, power, or the zinc/copper-heavy residual business separately instead of accepting one blended conglomerate multiple.

Capital-allocation visibility: the FY26 post-demerger presentation disclosed separate debt and leverage profiles, making the risk of each business easier to price. [4]

Aluminium economics: VAML opened as the dominant source of value and then reported Q1 FY27 revenue of ₹21,105 crore, EBITDA of ₹10,499 crore, a 50% EBITDA margin and PAT of ₹6,597 crore. Its net-debt/EBITDA improved from 1.3x to 0.9x. [7]

Residual Vedanta remained financially strong: continuing operations reported Q1 EBITDA of ₹8,469 crore and PAT of ₹5,294 crore, with leverage around 0.30x. [11]

Iron & Steel surprised positively after a weak listing: VISL’s price nearly doubled from its ₹20 NSE listing level to ₹38.59 by 28 August while Q1 moved back into profit. [9][12]

What stops this from being a clean victory

Power is the balance-sheet outlier. FY26 pro-forma net-debt/EBITDA was 4.7x, far above the other demerged entities, and Q1 FY27 produced a ₹423 crore net loss despite higher revenue and power sales. [4][10]

Oil & Gas is financially conservative but operationally exposed to mature-field decline, exploration execution and production-sharing-contract/legal issues. [8][15]

The demerger did not eliminate group-level linkages. CRISIL's July 2026 rationale explicitly continued to assess the businesses as a group for rating purposes, reflecting management's stated intent for financial flexibility across entities if required. [15]

The observed 12.2% uplift cannot be causally attributed only to legal restructuring. Commodity prices, operating performance, interest rates, market risk appetite and company-specific news also changed over the measurement period.

Two-and-a-half months of listed history is insufficient to judge whether the rerating is structural across a full commodity cycle.

20.6% listing-open uplift	11.1% 28 Aug price-only uplift	12.2% incl. ₹8 VAML dividend	7.9% bundle retracement from open
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1. Research Question, Framework & Methodology

A corporate-finance case study that separates legal restructuring, market price discovery, operating performance and capital structure.

1.1 Research question

Did Vedanta Limited's demerger create or destroy shareholder value — and, if value was created, was it generated by genuine improvements in transparency and capital allocation or merely by short-term price discovery?

1.2 Definition of “value creation”

The correct unit of analysis is one original Vedanta share held on the entitlement date. After a pro-rata demerger, comparing only the ex-demerger price of the residual parent with its pre-demerger price is meaningless because economic ownership has been redistributed into multiple securities. This report therefore measures the bundle value of: residual Vedanta + VAML + VOGL + VISL + Vedanta Power + cash dividends received after the split.

CORE EQUATION

Shareholder Value After Demerger = Price(VEDL) + Price(VAML) + Price(VOGL) + Price(VISL) + Price(VEPOWER) + post-split cash distributions. Value Accretion = (After-Demerger Value / Pre-Demerger Vedanta Price) – 1.

1.3 Analytical framework

Lens	Question	Evidence used
Event / price study	Did the market assign a higher combined value after separation?	29 Apr pre-demerger close; 15 Jun listing prices; 28 Aug closing prices
SOTP triangulation	Was a conglomerate discount visible before the split?	Nuvama segment multiple framework and pre-listing entity fair values
Capital structure	Was leverage allocated rationally?	Vedanta FY26 pro-forma net debt and net-debt/EBITDA by entity
Operating quality	Did standalone businesses begin with credible fundamentals?	Q1 FY27 revenue, EBITDA, PAT, production and leverage disclosures
Strategic economics	Did the split alter incentives and investor choice?	Entity mandates, capital allocation, governance, ratings and business-specific risks

1.4 Observation dates

Date	Why it matters
29 Apr 2026	Last trading day to buy Vedanta and remain eligible for the demerged shares; NSE close ₹773.60. [5]
30 Apr 2026	Special ex-demerger price discovery in residual Vedanta; record date itself was 1 May, a market holiday. [5]
15 Jun 2026	All four demerged companies began trading, enabling the first observable five-security bundle value. [6]
28 Aug 2026	Latest completed trading day before this report date; used for current bundle valuation. [12]

1.5 Limitations

This is an event-based case study, not a causal econometric proof. It does not attempt to isolate abnormal returns against a factor model or commodity benchmark over a statistically large sample. The post-listing window is short. Q1 FY27 accounting is also not perfectly additive across entities because Vedanta's demerger became effective from 1 May 2026: April results for transferred businesses appear in discontinued operations at the original Vedanta level, whereas the newly listed entities report their own quarter-level financials. [11]

Accordingly, the report gives more weight to transparent price-bundle arithmetic, disclosed debt allocation and entity-level operating trends than to a mechanically summed consolidated P&L.

2. The Strategic Problem: Why Break Up Vedanta?

The restructuring was a response to the disadvantages of placing very different commodity businesses inside one listed valuation wrapper.

2.1 The conglomerate-discount problem

Before the demerger, Vedanta combined aluminium, zinc, copper, oil & gas, iron ore, steel and merchant power. These businesses have different commodity cycles, cost structures, capital intensity, environmental risk, investor constituencies and optimal leverage. A single enterprise multiple therefore forces the market to price unlike assets through one blended risk premium. The result can be a conglomerate discount: high-quality or high-growth assets receive less credit because weaker or riskier segments contaminate the aggregate valuation.

Vedanta's original September 2023 announcement explicitly framed the transaction around independent "pure-play" companies, direct access to capital and the ability to attract large investments tailored to each business. [1] Nuvama later estimated that demerger-related multiple expansion in aluminium, steel/iron ore and power alone could add about ₹84 per pre-demerger share to fair value. [13]

2.2 Five frictions the demerger was designed to reduce

Friction inside conglomerate	Why separation can help	Residual concern
Blended valuation	Investors can apply commodity-specific peers and multiples	Common promoter control and group linkages remain
Cross-subsidised capital allocation	Each board can prioritize its own capex and deleveraging	Inter-company support may still occur economically
Investor mandate mismatch	Funds can choose aluminium, hydrocarbons, power, steel or zinc exposure directly	Some entities may suffer lower liquidity/index participation
Debt opacity	Entity leverage becomes visible and can be priced explicitly	High leverage is not solved by disclosure alone
Management complexity	Focused teams can benchmark operational KPIs against direct peers	Duplicate public-company costs and governance overhead increase

2.3 The transaction evolved materially from the 2023 blueprint

The Board's 29 September 2023 original scheme contemplated six listed companies including a separate Base Metals business. The Base Metals demerger was subsequently dropped, leaving copper, Zinc International and certain future-facing businesses inside residual Vedanta alongside the group's Hindustan Zinc exposure. The final structure therefore became five listed companies: residual Vedanta plus four new pure plays. [1][2][3]

INTERPRETATION

The final structure is not a perfectly clean “one commodity per company” breakup. Residual Vedanta remains a portfolio in its own right, anchored by zinc but retaining copper and other assets. This matters when comparing its valuation multiple with a pure-play zinc company.

3. Demerger Mechanics & Timeline

From a September 2023 board proposal to five separately traded securities by June 2026.

Date	Milestone	Analytical significance
29 Sep 2023	Board approves original six-company demerger plan. [1]	Formal start of the value-unlocking strategy.
20 Dec 2024	Scheme revised; Base Metals separation dropped. [2]	Residual Vedanta becomes less of a pure zinc vehicle than originally envisioned.
18 Feb 2025	Shareholder / creditor approval process completed under the revised scheme.	Execution risk begins to fall.
16 Dec 2025	Mumbai NCLT sanctions main demerger scheme. [3]	Major legal overhang removed; Vedanta shares rose on the approval news.
9 Jan 2026	Separate NCLT approval for the merchant power arrangement. [4]	Completes the tribunal pathway for the power undertaking.
29 Apr 2026	FY26 results and post-demerger capital-structure presentation. [4]	Market receives entity debt/leverage profile immediately before effectiveness.
30 Apr 2026	Vedanta trades ex-demerger after special pre-open price discovery. [5]	Residual price resets mechanically; standalone price comparison becomes invalid.
1 May 2026	Effective / record date for scheme.	Economic ownership separates; each eligible shareholder becomes owner of five companies.
15 Jun 2026	VAML, VOGL, VISL and Vedanta Power list on NSE/BSE. [6]	First market-discovered standalone valuations.
29–30 Jul 2026	First Q1 FY27 results as independently listed businesses. [7]–[11]	Operational evidence begins replacing valuation expectations.
28 Aug 2026	Latest market close used in this report. [12]	Measures whether the initial unlock persisted after ~10 weeks of trading.

3.1 Share entitlement

The transaction used mirrored ownership. For every one Vedanta Limited share held by an eligible shareholder, the investor continued to own one residual Vedanta share and received one equity share in each of the four resulting companies. This design matters because it preserves ownership continuity: the demerger did not require shareholders to choose an entity at the moment of separation. Instead, it gave them optionality to retain or sell each exposure independently. [3][5][6]

3.2 Why the 30 April price collapse was not destruction

On 30 April, Vedanta’s quoted price fell from ₹773.60 to a mechanically adjusted ex-demerger range near ₹278–₹290. That apparent fall represented the removal of the transferred businesses from the quoted residual share, not a sudden destruction of roughly two-thirds of enterprise value. The missing economic value sat in the yet-to-be-listed securities that eligible shareholders were entitled to receive. [5]

4. The Five-Company Business Map

The same shareholder base inherited five sharply different economic profiles.

Entity	Core exposure	FY26 pro-forma EBITDA (\$bn)	Net debt (\$bn)	Leverage	Strategic character
Vedanta Aluminium Metal	Aluminium / alumina / BALCO exposure	2.90	3.50	1.3x	Largest value pool; integration + cost-down growth story

Entity	Core exposure	FY26 pro-forma EBITDA (\$bn)	Net debt (\$bn)	Leverage	Strategic character
Residual Vedanta	Hindustan Zinc stake, copper, Zinc Intl and other retained assets	2.60	1.00	0.4x	Cash-generative zinc anchor with portfolio characteristics
Vedanta Oil & Gas	Upstream oil & gas / Cairn assets	0.50	0.00	Nil	Cash-generative but mature-field / regulatory risk
Vedanta Iron & Steel	Iron ore, pig iron, steel and related assets	0.14	0.20	1.4x	Smallest EBITDA base; turnaround + capacity growth optionality
Vedanta Power	Merchant / contracted thermal power portfolio	0.20	0.80	4.7x	Highest leverage and most balance-sheet-sensitive entity

Source: Vedanta Q4/FY26 Earnings Presentation, pro-forma demerged-entity debt table; amounts rounded and presented in US\$bn. [4]

4.1 What the market is really being asked to price

The five entities are not just different industries; they are different combinations of duration, leverage and cyclicity. VAML is a high-scale, high-operating-leverage metals business with an integration thesis. Residual Vedanta is heavily influenced by Hindustan Zinc's cash generation and silver exposure. VOGL resembles a depleting-resource cash-flow asset that must continuously replace reserves. VISL is a smaller cyclical turnaround. Vedanta Power is an infrastructure/commodity hybrid in which plant availability, fuel economics, PPA mix and leverage dominate equity outcomes.

PORTFOLIO IMPLICATION

The demerger does not magically make all five companies "better." It makes their strengths and weaknesses separately investable. That is itself a form of value creation because capital can now price risk more accurately — but accurate price discovery can also mean a lower valuation for weaker entities.

5. Capital Structure: Where the Debt Went

The demerger redistributed leverage rather than eliminating it — and the distribution was highly asymmetric.

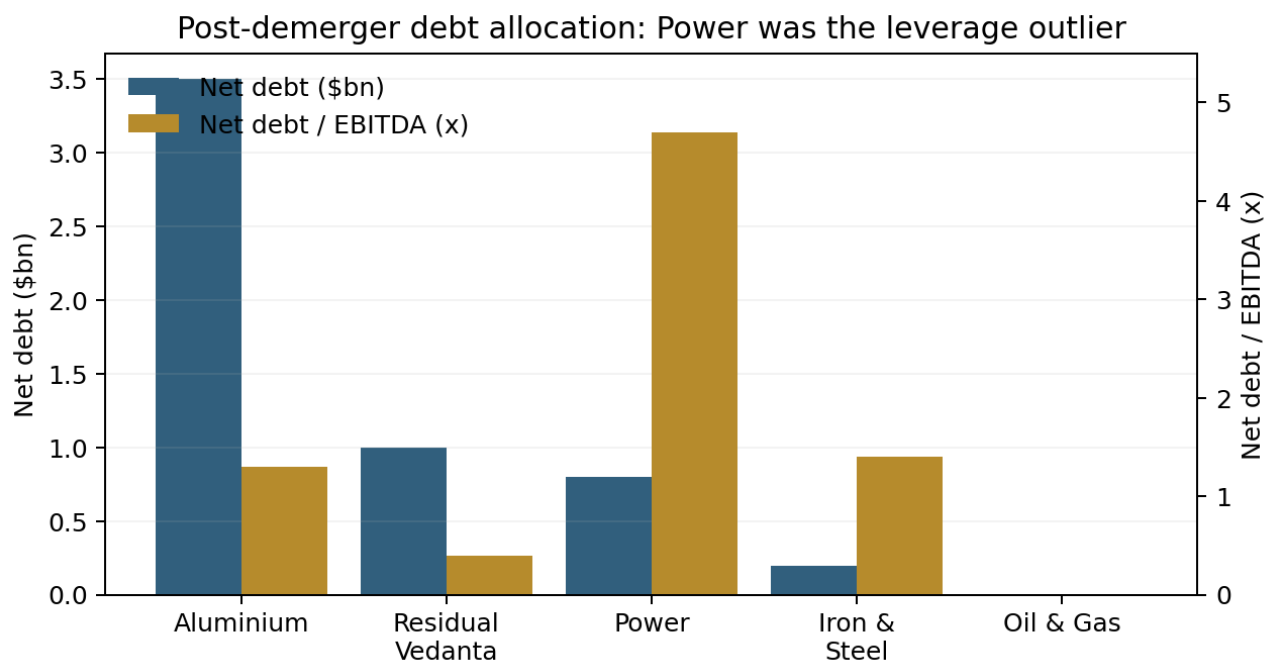


Figure 2. Pro-forma post-demerger net debt and leverage as of FY26 disclosure. Source: Vedanta Q4/FY26 Earnings Presentation. [4]

Entity	EBITDA \$bn	Gross debt \$bn	Cash \$bn	Net debt \$bn	ND / EBITDA	Standalone net debt allocation \$bn
Vedanta Aluminium	2.90	4.00	0.50	3.50	1.3x	3.40
Residual Vedanta	2.60	2.70	1.70	1.00	0.4x	1.00

Entity	EBITDA \$bn	Gross debt \$bn	Cash \$bn	Net debt \$bn	ND / EBITDA	Standalone net debt allocation \$bn
Vedanta Power	0.20	0.90	0.10	0.80	4.7x	0.20
Vedanta Iron & Steel	0.14	0.50	0.30	0.20	1.4x	0.10
Vedanta Oil & Gas	0.50	0.60	0.60	0.00	Nil	0.00

The company's consolidated pro-forma table showed total EBITDA of \$6.3bn, gross debt \$8.7bn, cash \$3.2bn, net debt \$5.5bn and net debt/EBITDA of 0.91x. Standalone net debt allocated across the five entities totalled \$4.7bn. [4]

5.1 Aluminium absorbed most of the absolute debt — but not the worst leverage

VAML received roughly \$3.5bn of pro-forma net debt, about 64% of the \$5.5bn consolidated net debt shown in Vedanta's post-demerger table. That looks aggressive in absolute terms, but the business also carried the largest EBITDA base at \$2.9bn. Its 1.3x net-debt/EBITDA was therefore manageable rather than distressed. The first independent quarter improved the ratio further to 0.9x, supported by record earnings. [4][7]

5.2 Power received less debt in dollars but far more risk per rupee of EBITDA

Vedanta Power's pro-forma net debt was only \$0.8bn, yet its EBITDA base was roughly \$0.2bn. That produced 4.7x net-debt/EBITDA — by far the highest of the five entities. This distinction is central to the demerger thesis: absolute debt allocation does not measure equity risk; debt relative to recurring operating cash flow does. The Q1 FY27 loss and margin compression reinforce why Power deserves a different equity multiple and risk premium from Aluminium or residual Vedanta. [4][10]

5.3 Oil & Gas emerged debt-free on the pro-forma view

VOGL had gross debt and cash of approximately \$0.6bn each in the pro-forma presentation, implying nil net debt. That gives the business financial flexibility, but equity risk does not disappear: production decline, reserve replacement, Brent pricing, production-sharing-contract terms and litigation can dominate value. [4][8][15]

5.4 Residual Vedanta became unusually lightly levered

The residual company was presented with roughly \$1.0bn net debt and 0.4x pro-forma net-debt/EBITDA. By Q1 FY27, Vedanta reported net debt of ₹8,299 crore and leverage around 0.30x for continuing operations. This lowers financial risk around the zinc/copper-heavy residual entity and gives it room to fund retained growth assets. [4][11]

CAPITAL-STRUCTURE VERDICT

Debt allocation was broadly rational for Aluminium, residual Vedanta and Oil & Gas; tolerable but watchable in Iron & Steel; and clearly aggressive in Power. The demerger improved transparency more than it improved the underlying debt burden.

6. Valuation: SOTP vs Market Price Discovery

The cleanest evidence of a conglomerate discount is the gap between the pre-demerger share price and the sum of independently priced businesses.

6.1 External SOTP benchmark before listing

Nuvama's pre-listing framework valued residual Vedanta at ₹336 per share, Aluminium at ₹477, Oil & Gas at ₹47, Iron & Steel at ₹30 and Power at ₹47. The sum was ₹937 per original Vedanta share — approximately 21% above the ₹773.60 cum-demerger close. [14]

Entity	Nuvama fair value (₹)	15 Jun listing/open (₹)	28 Aug close (₹)	Listing → 28 Aug
Residual Vedanta	336.00	311.20	287.95	-7.5%
Vedanta Aluminium	477.00	522.00	456.15	-12.6%
Vedanta Oil & Gas	47.00	38.00	40.32	+6.1%
Vedanta Iron & Steel	30.00	20.00	38.59	+93.0%
Vedanta Power	47.00	41.80	36.64	-12.3%

Entity	Nuvama fair value (₹)	15 Jun listing/open (₹)	28 Aug close (₹)	Listing → 28 Aug
TOTAL BUNDLE	937.00	933.00	859.65	-7.9%

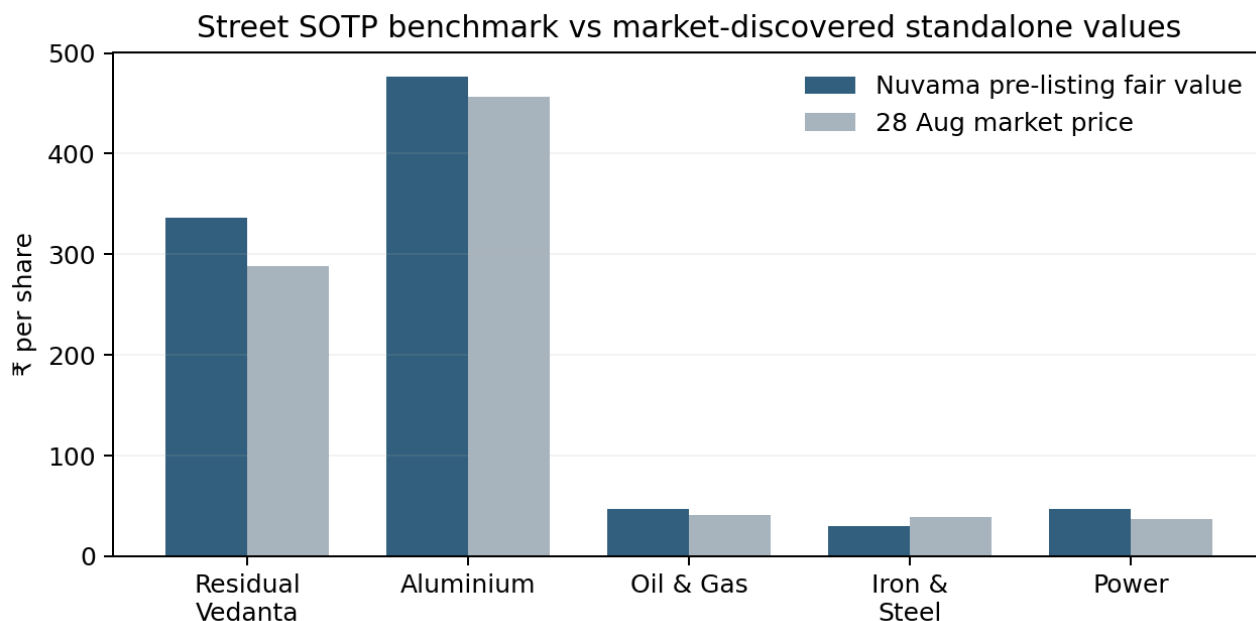


Figure 3. Pre-listing Nuvama entity fair values versus 28 August 2026 closing prices. Sources: [12], [14].

6.2 What listing-day price discovery said

The market's first full standalone price discovery was remarkably close to the external SOTP benchmark. Using NSE opening/listing values, VAML ₹522 + VOGL ₹38 + VISL ₹20 + Vedanta Power ₹41.80 + residual Vedanta about ₹311.20 produced ₹933.00 — only ₹4 below Nuvama's ₹937 aggregate and 20.6% above the pre-demerger close. [6][14]

That convergence does not prove Nuvama's exact assumptions were "correct." It does show that once the businesses became individually tradable, the market was willing to capitalize them at a combined value materially above the old conglomerate quotation.

6.3 How much of the unlock survived by 28 August?

By 28 August, the combined closing value had fallen to ₹859.65, a 7.9% retracement from the listing-open bundle. Even after that compression, the price-only bundle remained 11.1% above ₹773.60. Adding the ₹8 VAML dividend gives ₹867.65, or 12.2% gross value accretion. [7][12]

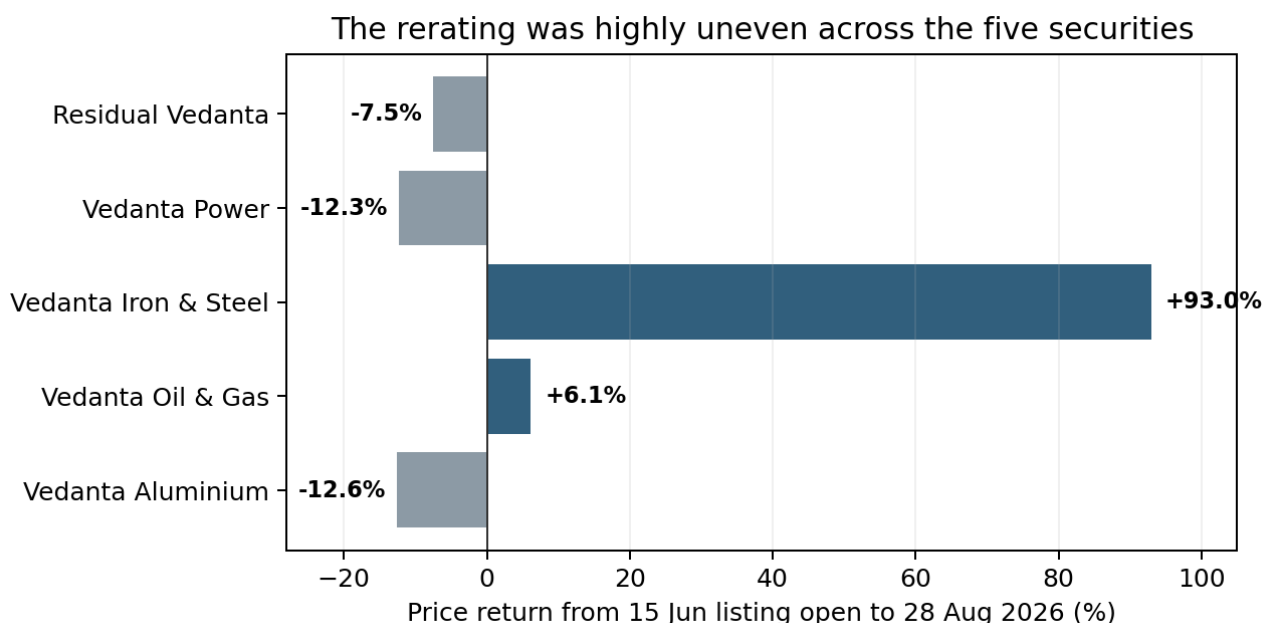


Figure 4. Post-listing performance dispersion. VISL rerated sharply upward, while VAML, Power and residual Vedanta traded below listing/open levels by 28 August. Source: [6], [12].

6.4 The key insight: more accurate valuation is not the same as higher valuation for every entity

The market did not simply add a uniform “demerger premium.” It reassessed each business separately. Aluminium received the highest absolute value but traded below its listing level after initial enthusiasm. Iron & Steel did the opposite: it began with a deeply discounted ₹20 print and subsequently nearly doubled. Power lost value as its standalone leverage and weak Q1 economics became visible. This is exactly how a successful pure-play separation should behave: the cross-subsidy in valuation disappears, and dispersion rises.

VALUATION CONCLUSION

The demerger unlocked a measurable portion of the SOTP discount, but the post-listing market has already clawed back part of the initial rerating. The durable value is therefore the combination of (a) a still-higher aggregate bundle, (b) direct investor choice, and (c) better capital-allocation transparency — not the listing-day spike itself.

7. Post-Demerger Operating Scorecard

The first standalone quarter helps distinguish a financial-engineering story from operating delivery.

Entity	Q1 FY27 revenue ₹cr	EBITDA ₹cr	PAT ₹cr	EBITDA margin	Read-through
Vedanta Aluminium	21105	10499	6597	50%	Record production; ND/EBITDA improved to 0.9x; ₹8 interim dividend
Residual Vedanta*	23456	8469	5294	36%	Continuing operations; net debt ₹8,299 cr; leverage ~0.30x
Vedanta Oil & Gas	2507	1232	945	49%	PAT includes discontinued operations; gross operated production 77.7 kboepd
Vedanta Iron & Steel	3662	515	122	14%	Turned profitable from ₹142 cr YoY loss; finance cost materially lower
Vedanta Power	2607	291	-423	11%	38% YoY power sales growth, but ₹487 cr exceptional loss and weak margin

*Residual Vedanta figures shown are continuing-operation metrics referenced in the company’s Q1 communication; due to the 1 May effective date and discontinued-operation accounting, this table should not be summed into one consolidated “group quarter.” [11]

7.1 Vedanta Aluminium — strongest operating confirmation

VAML’s first independent quarter was exceptional: ₹21,105 crore revenue, ₹10,499 crore EBITDA, 50% EBITDA margin and ₹6,597 crore PAT. Aluminium production reached 632 kt and the company reported its strongest-ever quarter on several metrics. Crucially, leverage improved to 0.9x despite the large absolute debt allocated at separation. [7]

This matters because the largest part of the demerger's market value cannot be defended by financial engineering alone. The business needs enough cash generation to support the valuation and debt. Q1 did exactly that, although commodity-price tailwinds and cyclicity mean a 50% margin should not be treated as a normalized perpetuity assumption.

7.2 Residual Vedanta — financially strong anchor

Continuing operations generated Q1 EBITDA of ₹8,469 crore and PAT of ₹5,294 crore, while net debt fell to ₹8,299 crore and leverage was approximately 0.30x. The retained Hindustan Zinc exposure remains a critical source of cash generation and valuation support. [11]

7.3 Oil & Gas — solid cash economics, harder volume problem

VOGL reported Q1 revenue of ₹2,507 crore and EBITDA of ₹1,232 crore, while gross operated production averaged 77.7 kboepd. The EBITDA level is healthy relative to revenue, but the strategic question is not near-term margin alone; it is whether exploration, enhanced recovery and new fields can offset mature-field decline over time. [8]

7.4 Iron & Steel — turnaround evidence explains the rerating

VISL reported revenue of ₹3,662 crore and a ₹122 crore net profit versus a ₹142 crore loss in the year-ago quarter. EBITDA was roughly ₹515 crore. That swing, combined with lower finance cost and production improvement, provides a fundamental explanation for why the stock recovered so sharply from its weak ₹20 listing print. [9]

7.5 Power — volume growth without earnings quality

Vedanta Power increased revenue by 31% YoY to ₹2,607 crore and power sales by roughly 38%, but EBITDA fell to ₹291 crore and the company reported a ₹423 crore consolidated net loss, including a ₹487 crore exceptional loss. The quarter illustrates why utilization growth does not automatically translate into equity value when fuel costs, outages, fixed obligations and leverage absorb operating gains. [10]

Entity	Score	Why
Vedanta Aluminium	A	Record earnings + deleveraging + dividend; strongest validation of standalone thesis
Residual Vedanta	A–	Very low leverage and strong continuing-operation profitability
Vedanta Oil & Gas	B+	High cash margin and debt-free pro-forma profile, offset by production/regulatory risk
Vedanta Iron & Steel	B	Return to profitability and strong share-price rerating, but smaller and cyclical
Vedanta Power	C–	Higher volumes but weak margins, loss and the highest disclosed leverage

8. Market Reaction & Event Analysis

The market rewarded legal certainty first, then differentiated the entities once standalone information arrived.

8.1 NCLT approval reduced execution risk

The 16 December 2025 NCLT sanction removed one of the largest legal uncertainties around the transaction. Contemporary Reuters reporting noted a positive share-price reaction on approval. [3][16] The strategic meaning was straightforward: a theoretical SOTP could begin transitioning into separately tradable securities.

8.2 Ex-demerger price adjustment created an optical trap

The 30 April special pre-open session reset residual Vedanta's quoted price because four businesses were being carved out. Media headlines or charts that ignore the pending entitlement can make the event look like a catastrophic one-day fall. For an eligible shareholder, however, that is equivalent to looking only at the parent after a stock dividend and pretending the distributed asset disappeared. [5]

8.3 Listing day produced the strongest visible rerating

At the 15 June opening prints, the combined securities were worth ₹933.00 per original share, roughly 20.6% over the cum-demerger close. By the end of the day, lower circuits in several newly listed stocks reduced the combined closing value to about ₹896.5 — still approximately 15.9% above ₹773.60. [6]

8.4 The first ten weeks exposed business-specific judgments

By 28 August, VAML was 12.6% below its ₹522 NSE listing print, residual Vedanta 7.5% lower than the approximate ₹311.20 reference, and Power 12.3% lower. VOGL was modestly higher. VISL was the outlier at +93.0% from ₹20. The dispersion indicates that the market moved beyond a single “Vedanta demerger” narrative and began pricing standalone earnings, leverage and optionality.

8.5 Benchmark caution

A rigorous academic event study would estimate abnormal returns relative to a chosen market and commodity-factor model. This report deliberately avoids claiming the full 12.2% gross uplift as causal demerger alpha because aluminium, zinc, oil, steel and broad Indian equities changed over the same interval. The strongest causal evidence is not the raw return alone; it is the combination of a near-instant SOTP convergence at listing, entity-specific performance dispersion thereafter, and the new visibility of debt and operating results.

9. Entity-by-Entity Investment Logic

A demerger succeeds when each security can be understood on its own terms — including when the conclusion is negative.

9.1 Vedanta Aluminium Metal — the crown jewel of the split

Aluminium represented more than half of the 28 August value of the four new entities plus residual Vedanta. Its strategic case rests on scale, domestic demand, value-added products, upstream integration and cost compression. FY26 aluminium production was a record 2,456 kt, alumina production 2,916 kt, and hot-metal cost fell to a five-year low of about \$1,752/t in Vedanta’s FY26 presentation. [4]

The main valuation risk is operating leverage in reverse. Aluminium equities can rerate quickly when LME prices, alumina, coal/power costs, carbon costs or premiums move against them. VAML’s first-quarter 50% EBITDA margin is evidence of excellent current economics, not a guarantee of mid-cycle profitability. [7]

9.2 Residual Vedanta — zinc-led cash generation with optionality

Residual Vedanta benefits from its Hindustan Zinc exposure, copper and retained/new-business optionality, alongside very low leverage. This can justify a lower financial-risk discount than the historical conglomerate. The offset is structural complexity: because the company still contains multiple businesses, it remains the least “pure” of the five post-demerger securities.

9.3 Vedanta Oil & Gas — debt-free does not mean low risk

VOGL’s zero pro-forma net debt is an important advantage, but upstream valuation depends on reserves, production decline, realized pricing, operating cost and regulatory/PSC tenure. The Q1 production figure of 77.7 kboepd should be monitored against future drilling and enhanced-recovery execution. [8]

There is also legal/regulatory complexity. VOGL’s July 2026 disclosures included PSC matters, ONGC litigation updates and DGH demand letters. CRISIL’s rating rationale acknowledges group financial flexibility but also emphasizes the group-based analytical approach. [15]

9.4 Vedanta Iron & Steel — smallest base, largest market rerating

VISL’s near-doubling after listing is mathematically dramatic but must be interpreted from a low starting base. The ₹20 listing price was far below Nuvama’s ₹30 pre-listing fair value; by 28 August the stock had moved to ₹38.59. Q1 profitability and lower finance cost helped validate the turnaround, but steel/iron-ore cyclicality, execution of expansion projects and capital intensity remain material. [9][12][14]

9.5 Vedanta Power — the demerger’s stress test

Power demonstrates that separation can expose, rather than hide, weakness. A 4.7x pro-forma leverage ratio means equity value is extremely sensitive to EBITDA normalization. Higher contracted sales and plant availability can improve cash-flow visibility, but fuel costs, forced outages, receivables and regulatory decisions can quickly overwhelm that benefit. Q1’s loss is therefore more consequential for Power than an equivalent one-off would be for a nearly debt-free company. [4][10]

10. Did the Demerger Actually Change Economics?

A corporate split can create value through incentives and price discovery even though the physical mines, smelters, wells and power plants are the same on day one.

Dimension	Changed immediately?	Economic effect
Physical assets / production	No	The same operating assets continued; no value is created merely by relabelling.
Investor choice	Yes	Shareholders can own/sell commodity exposures independently.
Valuation transparency	Yes	Each entity receives a standalone market multiple and earnings narrative.
Debt visibility	Yes	Leverage and debt-servicing risk are attributable to specific cash-flow pools.
Capital allocation	Partly	Boards and management have clearer mandates; however group influence remains.
Governance accountability	Partly	Separate listed disclosures improve accountability but common promoter ownership persists.
Funding flexibility	Potentially	Entities can theoretically raise capital against their own balance sheets and strategic investors.
Group risk contagion	Reduced, not eliminated	Ratings evidence suggests the market and agencies may still consider group support/linkages.

10.1 Value creation channel #1 — multiple expansion

The most visible channel is removal of the blended conglomerate multiple. Aluminium can be compared with aluminium peers, Power with power/infrastructure peers, Oil & Gas with upstream producers, and so on. Nuvama's pre-listing ₹937 sum compared with the ₹773.60 cum-demerger market price quantified the latent valuation gap. [14]

10.2 Value creation channel #2 — better capital discipline

Separate debt pools create a harder feedback loop. If Power's leverage is too high, the Power equity should bear the valuation penalty instead of the entire Vedanta conglomerate. Conversely, Aluminium can retain more credit for strong margins and deleveraging. This makes management's cost of capital more entity-specific and should, in theory, improve investment discipline.

10.3 Value creation channel #3 — strategic optionality

Pure-play structures can make minority strategic investments, partnerships, asset sales, equity issuance or business combinations easier because counterparties can transact with one defined asset perimeter. The value of this optionality is difficult to quantify today, but it is one reason demergers can create long-run value beyond the initial price jump.

10.4 Costs and offsets

Five listed companies also mean more boards, audits, investor-relations systems, compliance, duplicated corporate functions and standalone financing negotiations. Small entities may trade with lower liquidity and face higher equity volatility. The demerger therefore creates a recurring public-company cost base that must be outweighed by valuation, governance and capital-allocation benefits.

MOST IMPORTANT NUANCE

The restructuring did not create new tonnes of aluminium, barrels of oil or megawatts of power on 1 May. It changed who owns each cash-flow pool, how investors price it, how debt is attached to it, and how management is held accountable. That is real corporate-finance value — but it must eventually be sustained by operating performance.

11. Risk Map & What Could Reverse the Rerating

The post-demerger structure improves transparency; it does not remove commodity, governance or financing risk.

Risk	Most exposed entity	Why it matters	Monitoring signal
Aluminium / zinc / steel price cycle	VAML, VEDL, VISL	High operating leverage can compress EBITDA rapidly	LME/steel spreads; EBITDA/t; margin trend

Risk	Most exposed entity	Why it matters	Monitoring signal
Fuel / plant availability	Power	High leverage magnifies EBITDA volatility	PLF/PAF, fuel cost, PPA share, DSCR
Reserve replacement / production decline	VOGL	Mature fields need continuous investment and exploration success	kboepd, reserves/resources, well additions
Legal / PSC / regulatory	VOGL; group	Adverse outcomes can affect cash flows or asset tenure	Court/MoPNG/DGH disclosures
Execution of growth capex	VAML, VISL, VEDL	Returns depend on projects starting on time and on budget	Commissioning dates, capex, ramp-up
Promoter / parent leverage	All	Dividend or monetisation pressure can influence capital allocation	VRL debt, pledge/market-value cover, dividends
Cross-entity support / governance	All	Legal separation may not equal full economic ring-fencing	Related-party transactions, guarantees, rating commentary
Short trading history / liquidity	Especially VISL, Power, VOGL	Initial prices may overshoot or undershoot fair value	Turnover, free float, index inclusion, institutional ownership
ESG / carbon transition	Power, VAML, VISL	Thermal power and carbon-intensive metals face transition costs	Renewable mix, carbon intensity, regulatory costs

11.1 Parent-level linkage is the risk most likely to be missed

The legal demerger can encourage investors to think each company is fully ring-fenced. CRISIL's July 2026 VOGL rationale is a useful counterweight: the agency combined the business and financial profiles of the Vedanta group under a group-notch-up approach and incorporated Vedanta Resources-level net debt because parent servicing depends on distributions and financial flexibility from the operating group. [15]

This does not negate the demerger. It means the governance and capital-allocation analysis must include both standalone metrics and group behaviour. A pure-play trading ticker is not automatically a pure-play credit ecosystem.

11.2 The biggest near-term swing factor

The single largest market-value component is VAML. At 28 August prices, Aluminium represented about 53% of the five-security bundle. Therefore, even if all other entities execute well, a sharp deterioration in aluminium margins can dominate the combined shareholder outcome. The demerger reduces cross-business opacity but does not diversify an investor who continues to hold the full five-share bundle in equal entitlement quantities.

12. Final Verdict

VALUE CREATION SO FAR — with a material asterisk around durability, causality and Power's leverage.

₹773.60 29 Apr pre-demerger	₹933.00 15 Jun listing-open bundle	₹859.65 28 Aug price bundle	₹867.65 incl. VAML dividend
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12.1 The answer to the research question

On the most direct shareholder arithmetic, the demerger has created value. One original Vedanta share worth ₹773.60 before the entitlement now maps to five listed securities worth ₹859.65 at 28 August closing prices, plus an ₹8 cash dividend declared by VAML. The resulting ₹867.65 observed value is approximately 12.2% above the pre-demerger reference price. [5][7][12]

The initial listing-open uplift was even larger at roughly 20.6%, which is strong evidence that a conglomerate discount had existed. But the bundle's 7.9% retracement from listing-open price discovery shows that some of the first-day enthusiasm was valuation overshoot, changed market conditions, or a reassessment of standalone risks rather than permanent economic gain.

12.2 Why the result is not just a stock-price story

Three structural improvements support the conclusion beyond price arithmetic: (1) each business now has a separately observable cost of equity and market multiple; (2) debt and leverage are transparent at entity level; and (3) management teams can be judged against focused operating KPIs. VAML's strong Q1, residual Vedanta's low leverage and VISL's return to profit show that at least part of the rerating has operating support. [7][9][11]

12.3 Why the conclusion remains provisional

A durable verdict requires at least a full commodity cycle, multiple quarters of standalone audited cash flows, evidence on capital allocation and refinancing, and observation of how the entities behave when one business is under stress. Power is already a useful test: if the group consistently protects weaker entities using stronger-company cash flows, some of the theoretical ring-fencing and valuation independence could erode.

CASE-STUDY CONCLUSION

Vedanta's demerger is best classified as a successful value-unlocking transaction to date, not an unqualified restructuring triumph. The market recognized hidden SOTP value almost immediately, operational results have validated the strongest businesses, and shareholder wealth remains above the pre-demerger baseline. Yet the benefits are concentrated in Aluminium and residual Vedanta, while Power shows that demerger transparency can reveal risk just as effectively as it reveals value.

12.4 What would change the verdict

Future evidence	Effect on verdict
Bundle value remains > pre-demerger benchmark through weaker commodity conditions	Strengthens the case for structural multiple expansion
VAML sustains low leverage while executing integration/growth capex	Strengthens the core value-creation thesis
Power deleverages and normalizes EBITDA without support from sister entities	Converts the weakest piece from risk to upside
Repeated related-party support, guarantees or excessive dividend extraction	Weakens the ring-fencing / governance thesis
VOGL production declines faster than reserve replacement	Reduces the value of debt-free balance-sheet advantage
VISL maintains profitability through a down-cycle	Validates its post-listing rerating as fundamental rather than speculative

Appendix A. Core Calculations

Transparent arithmetic so the headline verdict can be reproduced.

A1. Price-bundle calculation

Security	15 Jun opening / listing ₹	28 Aug 2026 close ₹	Change ₹	Change %
Vedanta Aluminium	522.00	456.15	-65.85	-12.6%
Vedanta Oil & Gas	38.00	40.32	+2.32	+6.1%
Vedanta Iron & Steel	20.00	38.59	+18.59	+93.0%
Vedanta Power	41.80	36.64	-5.16	-12.3%
Residual Vedanta	311.20	287.95	-23.25	-7.5%
TOTAL	933.00	859.65	-73.35	-7.9%

Pre-demerger base = ₹773.60. Price-only current accretion = ₹859.65 / ₹773.60 – 1 = 11.12%. Including VAML's ₹8 dividend = (₹859.65 + ₹8.00) / ₹773.60 – 1 = 12.16%.

A2. Approximate market-cap scale of observed uplift

Because the demerger used approximately mirrored one-for-one share entitlements, multiplying the price uplift by ~391 crore shares provides a simple scale estimate. Price uplift: (₹859.65 – ₹773.60) × 391 crore ≈ ₹33,646 crore. VAML dividend: ₹8 × 391 crore ≈ ₹3,128 crore. Combined gross price-plus-cash wealth differential ≈ ₹36,774 crore. This is an approximation, not a formal market-cap reconciliation, because treasury/issued-share nuances and timing can differ by entity.

A3. Current value concentration

Entity	28 Aug price ₹	Share of five-security bundle
Vedanta Aluminium	456.15	53.1%
Vedanta Oil & Gas	40.32	4.7%
Vedanta Iron & Steel	38.59	4.5%
Vedanta Power	36.64	4.3%
Residual Vedanta	287.95	33.5%

At current prices, Aluminium alone represents just over half of the entire bundle. This concentration explains why combined shareholder wealth remains highly sensitive to VAML even though the legal structure is diversified across five companies.

A4. Nuvama valuation logic used as external benchmark

Nuvama's broader FY28E SOTP research valued operating businesses with differentiated EV/EBITDA multiples: aluminium at 6.0x, oil & gas at 4.0x, base metals at 6.0x, steel & iron ore at 5.0x, power at 8.0x and Hindustan Zinc at 7.0x in its pre-demerger framework. A later pre-listing note expressed the resulting entity-level fair values as ₹336 for residual Vedanta, ₹477 for VAML, ₹47 for VOGL, ₹30 for VISL and ₹47 for Power. [13][14]

The Nuvama values are used as a third-party triangulation benchmark, not presented as the author's proprietary target prices. The report's own core conclusion relies on observable bundle values and disclosed debt/operating data.

Appendix B. Source Notes & Bibliography

Primary corporate disclosures are preferred; media and brokerage sources are used for price discovery, market reaction and external valuation benchmarks.

[1] **Vedanta Oil & Gas / Vedanta Group.** "Vedanta announces demerger of diversified businesses unlocking significant value," 29 Sep 2023. [Source](#)

[2] **Vedanta Limited / statutory disclosures.** Directors' Report and scheme disclosures describing the original six-company plan and subsequent scheme evolution. [Source](#)

- [3] **Vedanta Limited.** “Vedanta Receives NCLT Approval for Demerger into Independent, Pure-play Companies,” 16 Dec 2025. [Source](#)
- [4] **Vedanta Limited.** Q4 & FY26 Earnings Presentation, 29 Apr 2026 — FY26 financials, effective date, pro-forma entity debt allocation and leverage. [Source](#)
- [5] **Business Standard.** “Vedanta corrects after ex-demerger price adjustment,” 30 Apr 2026 — ₹773.60 NSE prior close, ex-demerger mechanics and eligibility. [Source](#)
- [6] **Moneycontrol / market reporting.** 15 Jun 2026 listing coverage — VAML ₹522, VOGL ₹38, Power ₹41.80, VISL ₹20; combined value and closing bundle context. [Source](#)
- [7] **Vedanta Aluminium Metal Limited.** Q1 FY27 press release, 30 Jul 2026 — revenue ₹21,105 cr, EBITDA ₹10,499 cr, PAT ₹6,597 cr, 50% margin, 0.9x leverage and ₹8 dividend. [Source](#)
- [8] **Vedanta Oil & Gas Limited.** Q1 FY27 results press release, 29 Jul 2026 — revenue ₹2,507 cr, EBITDA ₹1,232 cr, PAT including discontinued operations ₹945 cr, production. [Source](#)
- [9] **Vedanta Iron & Steel / Moneycontrol.** Q1 FY27 results coverage, 29 Jul 2026 — revenue ₹3,662 cr and PAT ₹122 cr versus prior-year loss. [Source](#)
- [10] **Vedanta Power / Upstox.** Q1 FY27 results coverage, 29 Jul 2026 — revenue ₹2,607 cr, EBITDA ₹291 cr and net loss ₹423 cr. [Source](#)
- [11] **Vedanta Limited / Business Standard & NSE filing.** Q1 FY27 continuing-operations results and demerger accounting explanation, 30 Jul 2026. [Source](#)
- [12] **Historical NSE prices.** 28 Aug 2026 closing prices from Investing.com / Business Standard / IIFL for VAML, VOGL, VISL, VEDPOWER and VEDL. [Source](#)
- [13] **Nuvama Institutional Equities.** “Demerger by FY26-end — value improves by INR84/share” and FY28E SOTP methodology. [Source](#)
- [14] **Nuvama / Economic Times.** Pre-listing entity fair values: VEDL ₹336, VAML ₹477, VOGL ₹47, VISL ₹30, Power ₹47. [Source](#)
- [15] **CRISIL Ratings.** Vedanta Oil & Gas Limited rating rationale, 16 Jul 2026 — group analytical approach and Vedanta Resources linkage. [Source](#)
- [16] **Reuters.** 16 Dec 2025 coverage of NCLT approval and market reaction. [Source](#)

Data convention

All rupee share prices are NSE values where explicitly stated. “Current” means the last completed trading day available before the report date: 28 August 2026. Dollar debt figures are company pro-forma disclosures and are rounded. “EBITDA margin” in the Q1 scorecard is a simple EBITDA/revenue representation where the company-reported metric is available or consistent with disclosed values.

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